

Investing in a Low Interest Rate Environment

In February 2012, the effective federal funds interest rate was 0.25 percent. The federal funds rate is considered one of the most important interest rates in the U.S. markets. In fact, the federal funds rate has been near zero since late 2008. In this incredibly low interest rate environment, there are some investments you'll probably want to avoid, as well as some better choices for where to invest.

What to Avoid

When the average one-year CD is yielding a paltry 0.34 percent, you may be tempted to buy a longer-term CD in order to get a better yield. Currently the average rate on a five-year CD is about 1.15 percent. It is probably a bad idea to lock in for the long term at such low rates. If inflation rebounds, these low interest rates might yield little to no real return. If you do choose to go with a long-term CD, try to choose one with a low early withdrawal penalty so that if rates do rise sharply you will be able to move your funds.

Bonds have a strong inverse link to interest rates. That is, when market interest rates increase, the prices of existing bond issues decrease. In addition, the longer it is to the bond's maturity, the more sensitive its price is to changes in the market interest rate.

Due to these facts, long-term bonds are usually a bad choice in a low-interest rate environment. This is particularly true since the federal funds rate is so close to zero. There is nowhere for interest rates to go but up. As interest rates climb, long-term bond prices will fall significantly, resulting in losses on long-term bond portfolios.

Where to Invest

Unlike many other investments, low interest rates are good for stocks, at least in theory. Since companies are able to borrow money at lower rates in the market, they are able to fund more growth initiatives. If these investment programs were successful, you would generally expect stock